India Power Equipment

Worries around selected Chinese companies' participation are overdone

Following the news flow on four Chinese entities (with manufacturing presence in India) being given permission to participate in government contracts for two years, and the consequent ~8% fall in power equipment companies under our coverage, we note:

- **Stock reaction overdone:** (1) Excluding TBEA (where capacity is being utilized primarily for exports), the other three entities (Taikai, New Northeast, and Nanjing) have a combined gross block of ~Rs2.4bn/$25m and a peak revenue of Rs2.1bn/$22mn (in FY22 prior to the restrictions imposed: negligible revenues in FY25), and are therefore not likely to have any material impact on market shares for the incumbent players – even at full utilization. (2) While there are concerns around margins for new orders, given the restriction has been lifted for only two years and with these companies also likely requiring time to ramp-up operations and win orders, the incentive for these entities to be aggressive on pricing appears minimal – in light of the policy uncertainty and acccumulated losses. (3) New Northeast and Takai manufacture switchgears, and not transformers, STATCOMS/reactors, HVDC equipment and, therefore, this does not have an impact on the overall pricing/ addressable market for incumbents. In that context, the ~8% negative stock correction across our coverage following this news seems overdone.
- **Key debate from here:** While it is difficult to say if this 'selective and time-bound' relaxation marks a potential policy shift towards allowing Chinese investments in the equipment sector, we note that the global power equipment demand cycle has accelerated meaningfully over the past 2-3 years, and consequentially, the incentives, export margins, and potential international markets for capacity expansions by Chinese power equipment companies have also shifted. **To gain perspective from a China and Global lens, we are hosting a call with Stephen Tsui, Executive Director & Lead Analyst - China and Korea Power Equipment, on 6 July, 2:45PM IST/5:15PM HK** (Registration Link)*.
- Key global power equipment comps and operating revenue history for Taikai Electric India, New Northeast Electric India, and Nanjing Electric India are shown below.

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India Industrials, Electric Utilities, and Infrastructure Sectors

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HITN.NS, POWERIND IN
Overweight
Price (03 Jul 26): Rs31,040.00
Price Target (Mar-27): Rs39,000.00

GETD.NS, GVTD IN
Overweight
Price (03 Jul 26): Rs4,401.50
Price Target (Mar-27): Rs5,500.00

ENRIN.NS, ENRIN IN
Neutral
Price (03 Jul 26): Rs3,281.50
Price Target (Mar-27): Rs3,500.00

See page 6 for analyst certification and important disclosures, including non-US analyst disclosures.

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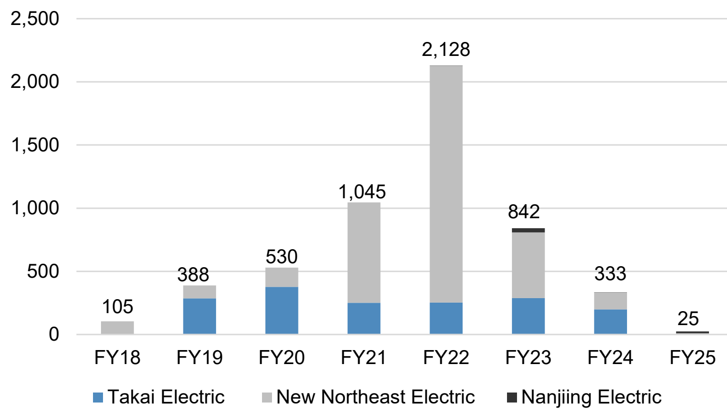
Figure 1: Combined revenue of Taikai Electric India, New Northeast Electric India, and Nanjing Electric India

in Rsmn



Source: MCA

Figure 2: Global power equipment valuation comps

	Ticker	JPM rating	Share price (LC)	Mkt Cap (USDm)	PE (x) 2026E	PE (x) 2027E	PE (x) 2028E	ROE (%) 2026E	ROE (%) 2027E	EV/EBITDA (x) 2026E	EV/EBITDA (x) 2027E	Price Performance 1m	Price Performance YTD	Price Performance 1y
Global														
Hitachi	6501 JP	OW	4,615.0	129,728	22.9	**18.9**	**16.4**	13.4	15.5	11.5	10.2	-11%	-6%	15%
Siemens Energy	ENR GY	OW	168.1	165,587	34.1	**25.9**	**23.9**	34.4	33.9	20.0	16.2	5%	40%	82%
GE Vernova	GEV US	OW	1,113.1	299,115	33.4	**40.8**	**29.2**	39.8	36.1	46.2	28.6	16%	70%	115%
ABB	ABBN SW	N	87.4	198,242	35.1	**34.0**	**30.8**	33.8	31.0	22.9	22.1	3%	48%	87%
Siemens	SIE GY	OW	280.1	184,898	26.1	**22.5**	**19.3**	24.0	25.0	17.6	15.4	-1%	19%	26%
India														
Hitachi Energy India	POWERIND	OW	31,040.0	14,534	93.8	**65.5**	**52.5**	25.1	27.8	70.9	47.9	-15%	70%	55%
GEV T&D	GVTD IN	OW	4,401.5	11,839	72.4	**54.8**	**43.5**	47.1	43.7	53.9	40.5	-13%	41%	87%
Siemens Energy India	ENRIN IN	N	3,281.5	12,276	60.9	**50.5**	**43.6**	29.0	27.1	44.2	36.2	-11%	28%	13%
CG Power	CGPOWER I	OW	892.6	14,768	86.2	**66.9**	**50.8**	18.3	20.0	64.3	49.0	-5%	38%	32%
ABB India	ABB IN	N	6,950.5	15,473	82.9	**65.8**	**57.5**	21.5	24.0	68.6	52.9	-3%	34%	19%
Siemens India	SIEM IN	UW	3,536.3	13,230	45.8	**61.1**	**53.0**	17.4	14.0	42.7	46.7	-4%	15%	7%
Japan														
Mitsubishi Heavy	7011 JP	NC	3,792.0	79,286	31.1	**26.2**	**22.4**	13.0	14.1	16.6	14.4	2%	-1%	12%
Mitsubishi Electric	6503 JP	OW	5,944.0	77,849	23.4	**21.1**	**18.7**	11.1	11.5	14.1	13.1	0%	30%	93%
Fuji Electric	6504 JP	NC	13,540.0	12,529	19.0	**17.4**	**15.5**	12.7	13.0	10.1	9.4	-9%	14%	102%
Korea														
LS Electric	010120 KS	N	233,000	22,849	69.2	**51.1**	**41.5**	22.0	24.8	40.9	30.9	1%	150%	345%
HD Hyundai Electric	267260 KS	OW	947,000	22,318	34.2	**26.5**	**22.5**	42.4	41.5	24.5	18.9	-3%	22%	119%
Hyosung Heavy Industries	298040 KS	OW	3,354,000	20,446	39.8	**28.3**	**22.1**	29.0	30.9	27.9	20.4	-2%	87%	277%
Sanil Electric	062040 KS	NC	224,000	4,484	32.3	**25.9**	**21.6**	31.9	31.4	25.3	20.2	6%	72%	172%
Iljin Electric	103590 KS	NC	76,000	2,369	23.1	**19.4**	**17.0**	23.9	23.3	15.5	13.4	-8%	40%	110%
Mainland China														
Nari Technology	600406 CH	OW	22.9	27,114	19.9	**17.9**	**16.0**	16.8	17.4	14.9	13.6	-4%	2%	4%
Qingdao TGood	300001 CH	OW	33.8	5,268	23.0	**19.4**	**16.4**	16.8	17.4	15.6	13.7	-17%	32%	44%
Xuji Electric	000400 CH	OW	21.2	3,180	13.5	**11.8**	**10.6**	12.8	13.4	8.1	7.2	-12%	-18%	-3%
Wasion Holdings	3393 HK	OW	19.7	2,627	13.3	**11.0**	**9.5**	20.0	21.5	8.3	6.7	-15%	15%	127%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. As of close of business 3 July. Estimates for the Not Covered (NC) stocks are based on the Bloomberg consensus.

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Investment Thesis, Valuation and Risks

Hitachi Energy India Limited *(Overweight; Price Target: Rs39,000.00)*

Investment Thesis

India's energy transition imperative (80% of planned incremental capacity from solar and wind) could drive annual transmission capex of $8bn-9bn, driving demand for HVDC and high-voltage power equipment like transformers, switchgears, and STATCOMs. Hitachi Energy India is the leader in HVDC (~60% market share in commissioned and awarded HVDC projects in India) and is poised for strong structural growth driven by 1) a potential $15bn HVDC ordering pipeline (over the next 5-6 years), which could translate into 1-2 HVDC (or $1bn-2bn) project ordering each year, 2) capacity expansions, helping participate in the increasing ordering across HV power equipment, 3) exports: leveraging low-cost manufacturing and capability/capacity building to increasingly participate on global opportunities, and 4) an improving share of exports/ HVDC execution driving margin expansion. We estimate revenue/PAT CAGR of 39% over FY26-29, and value POWERIND at 65X FY29 EPS, driving our PT of Rs39,000 and an OW rating.

Valuation

We value Hitachi Energy India (POWERIND) at 65x FY29 EPS (average multiple of broader capital goods coverage) to arrive at our March-27 PT of Rs39,000. While absolute valuations on near-term earnings are close to historical peaks, the growth visibility (35%+ revenue and EPS CAGR over FY26-FY29E, sustained momentum in order inflows), and the relative discount to growth-adjusted valuations of broader capital goods names, gives us comfort that valuations are supported at current levels.

Risks to Rating and Price Target

Key downside risks: (1) slower power demand growth pushing out RE capacity additions and related transmission capex: CEA's capacity additions plans are underpinned by ~5% power demand growth over the next decade, and any sustained slowdown in power demand growth could right-shift RE capacity additions and consequently delay the transmission build-out (impacting demand for HV power equipment). (2) regulatory changes that would allow increased participation of Chinese and Korean power equipment companies in government projects could impact market share and margins. (3) Supply chain disruptions: Copper, aluminum, and steel form a substantial part of material costs, and significant fluctuations in prices or procurement challenges could impact the pace of execution and margins. Given the complex global supply chain for components – significant disruptions in shipping can also impact execution.

Key upside risks: (1) acceleration in the pace of HVDC ordering, (2) significant growth in emerging demand cohorts of data centers and grid-stability equipment, (3) global demand-supply tightness driving further gross margin expansion, combined with operating leverage driving significant margin expansion.

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Investment Thesis, Valuation and Risks

GE Vernova T&D India Limited *(Overweight; Price Target: Rs5,500.00)*

Investment Thesis

India's energy transition imperative (80% of planned incremental capacity from solar and wind) could drive annual transmission capex of $8bn-9bn, driving demand for HVDC and high-voltage power equipment. GVTD has an exhaustive product portfolio across HV equipment and we think it is well positioned for strong earnings growth driven by 1) a potential $15bn HVDC ordering pipeline (over the next 5-6 years), which could translate into 1-2 HVDC (or $1bn-2bn) project ordering each year in India, with GVTD being one of the only two companies with both LCC/VSC tech (along with POWERIND); 2) energy-transition-led demand growth for HV power equipment; and 3) sustained momentum in exports, helping sustain healthy margins. We estimate revenue/PAT CAGRs of 27-28% over FY26-29 and have an OW rating.

Valuation

We value GE Vernova T&D (GVTD) at 55x FY29E EPS (a discount to POWERIND given higher HVDC wins for POWERIND so far and higher capacity addition plans) to arrive at our March-27 PT of Rs5,500/share. While absolute valuations on near-term earnings are close to historical peaks, the growth visibility (27-28% revenue and EPS CAGR over FY26-FY29E, sustained momentum in order inflows), and the relative discount to growth-adjusted valuations of broader capital goods names, gives us comfort on valuations being supported at current levels.

Risks to Rating and Price Target

Key downside risks: (1) slower power demand growth pushing out RE capacity additions and related transmission capex: CEA's capacity additions plans are underpinned by ~5% power demand growth over the next decade, and any sustained slowdown in power demand growth could right-shift RE capacity additions and consequently delay the transmission build-out (impacting demand for HV power equipment); (2) regulatory changes that would allow increased participation of Chinese and Korean power equipment companies in government projects could impact market share and margins. (3) Supply chain disruptions: Copper, aluminum, and steel form a substantial part of material costs, and significant fluctuations in prices or procurement challenges could impact the pace of execution and margins. Given the complex global supply chain for components, significant disruptions in shipping can also impact execution.

Key upside risks: (1) acceleration in the pace of HVDC ordering, (2) significant growth in emerging demand cohorts of data centers and grid-stability equipment, (3) global demand-supply tightness driving further gross margin expansion, combined with operating leverage driving significant margin expansion.

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Investment Thesis, Valuation and Risks

Siemens Energy India Limited *(Neutral; Price Target: Rs3,500.00)*

Investment Thesis

India's energy transition imperative is driving demand for HVDC and high-voltage power equipment, and ENRIN is well-placed to capitalize on the growing demand, given its leadership position in STATCOMs, large power transformers, capex on adding power transformers, reactors and switchgear capacity, and export potential. However, with (1) ENRIN participating only in VSC-HVDC bids – where TAM could be lower than HVDC-LCC in India over the next 5-6 years and (2) a large proportion of ENRIN's business from 'generation' segment (supply and service of turbines) – where growth is likely to lag T&D capex, ENRIN's earnings growth is likely to lag the pure-play T&D exposed names. We estimate revenue/PAT CAGR of ~20%/21% over FY26-29, and value ENRIN on 50x Mar-2029 EPS, driving our TP of Rs3,500 and Neutral rating.

Valuation

We value Siemens Energy India (ENRIN) at 50x March-2029E EPS (average of FY28/FY29 EPS given the Sept-end reporting) to arrive at our March -27 PT of Rs3,500. We believe ENRIN deserves a valuation discount to peers POWERIND and GVTD given its (1) lower HVDC visibility, (2) sizeable generation business - where growth is likely to lag transmission capex, and (3) consequently lower earnings growth trajectory.

Risks to Rating and Price Target

Key downside risks: (1) Slower power demand growth pushing out RE capacity additions and related transmission capex: CEA's capacity additions plans are underpinned by ~5% power demand growth over the next decade, and any sustained slowdown in power demand growth could right-shift RE capacity additions and consequently delay the transmission build-out (impacting demand for HV power equipment). (2) Regulatory changes that would allow increased participation of Chinese and Korean power equipment companies in government projects could impact market share and margins. (3) Supply chain disruptions: Copper, aluminum, and steel form a substantial part of material costs, and significant fluctuations in prices or procurement challenges could impact the pace of execution and margins. Given the complex global supply chain for components, significant disruptions in shipping can also impact execution.

Key upside risks: (1) Acceleration in the pace of HVDC-VSC ordering in India; (2) significant growth in emerging demand cohorts of data centers and grid-stability equipment; and (3) global demand-supply tightness driving further gross margin expansion, combined with operating leverage driving significant margin expansion.

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Hitachi Energy India Limited (HITN.NS, POWERIND IN) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 08, 2026. All share prices are as of market close on the previous business day.

Date	Rating	Price (Rs)	Price Target (Rs)
09-Apr-26	OW	25915.00	29,000
29-May-26	OW	37550.00	39,000

GE Vernova T&D India Limited (GETD.NS, GVTD IN) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 08, 2026. All share prices are as of market close on the previous business day.

Date	Rating	Price (Rs)	Price Target (Rs)
09-Apr-26	OW	3725.10	4,300
20-May-26	OW	4385.30	5,050
29-May-26	OW	5097.70	5,500

Siemens Energy India Limited (ENRIN.NS, ENRIN IN) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 08, 2026. All share prices are as of market close on the previous business day.

Date	Rating	Price (Rs)	Price Target (Rs)
09-Apr-26	N	2701.70	2,600
18-May-26	N	3086.10	2,650
29-May-26	N	3766.10	3,500

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Completed 05 Jul 2026 06:00 PM HKT Disseminated 05 Jul 2026 06:00 PM HKT